Procurement and payment policy

Approved by the Board on 15/01/2026

1. Purpose and scope

This policy defines how goods and services are ordered, received, invoiced and paid by Azur Marine Services S.A.M. It applies to all purchases made for the office and for the vessels under management, whatever the amount. It does not apply to payroll, social contributions and taxes.

1.1 Definitions

Purchase order (PO): the written commitment issued by the company to a supplier, numbered PO-YYYY-NNNN and approved according to section 3. Delivery note: the supplier's document accompanying goods, signed on board on receipt. Service report: the document recording works performed on board, signed by the Master or the Chief Engineer. Supplier master file: the reference list of suppliers, their VAT numbers, bank details, payment terms and PO requirement, maintained by Finance.

Net amount: amount excluding VAT. Deposit: a payment made before delivery or invoicing under an express clause of a signed PO or contract.

1.2 Roles and responsibilities

Requesters (Masters, Chief Engineers, Operations) express the need and check receipt. The Operations Manager raises purchase orders and approves within his limit. The Finance Director approves within her limit, validates every payment run and owns the supplier master file. The Chief Executive Officer approves commitments above the Finance Director's limit.

Accounts Payable books invoices only after the controls of section 5 and prepares payment runs; it may not modify supplier bank details without the confirmation described in section 6. Segregation of duties is mandatory: the person who enters a payment cannot approve it.

2. Purchase orders

A purchase order (PO) approved in accordance with section 3 must be issued before any commitment towards a supplier flagged "PO required = Yes" in the supplier master file. Recurring services under a framework contract (berths, telecommunications, insurance, IT managed services, cleaning, provisions, crew agency) are exempt.

In an emergency affecting the safety of a vessel, the Master may authorise work verbally; a regularisation PO must then be issued within 2 working days.

3. Approval matrix

The approver is determined by the net amount (excluding VAT) of the PO. A higher level may always approve a lower amount.

Net amount of the PO (EUR)	Required approver	Current holder
up to 5,000.00	Operations Manager	Thomas Rinaldi
5,000.01 to 20,000.00	Finance Director	Claire Martin
above 20,000.00	Chief Executive Officer	Philippe Andrieu

4. Receipt of goods and services

Goods are received against a delivery note signed on board; services against a service report signed by the Master or the Chief Engineer. Partial deliveries must be recorded with the quantities actually received.

5. Invoice control (three-way match)

Before booking, each invoice is matched with the PO and the delivery note or service report. Quantities invoiced may not exceed quantities received. Prices may not exceed PO prices. VAT must be arithmetically correct and the invoice must carry the mandatory mentions.

Any difference is put on hold and notified to the supplier in writing.

6. Payments

Payments are made on or shortly before the due date. Payments before receipt of the invoice or of the goods are only allowed when a deposit or prepayment is expressly provided for in a signed PO or contract.

Any change of supplier bank details must be confirmed by a call-back to the telephone number recorded in the supplier master file, by a person other than the requester, before the next payment.

7. Period-end cut-off

Invoices received after the closing date that relate to goods or services delivered during the period are accrued. Goods or services received without an invoice are accrued at the PO price.

8. Supplier master data

New suppliers are created only after the onboarding checks (registration extract, VAT number checked on VIES, bank identity statement on the supplier's letterhead, call-back). The master file records for each supplier whether a PO is required.

Inactive suppliers are blocked after 24 months without transactions.

9. Emergency purchases

Emergency purchases made on the Master's verbal authorisation (section 2) must be documented by an e-mail from the Master on the same day and regularised by a PO within 2 working days. The supplier's invoice is not paid before regularisation.

10. Records

Purchase orders, delivery notes, service reports, invoices and payment evidence are kept for 10 years in the document management system, one document per file, with their e-mails.

11. Breaches

Any breach of this policy is reported to the Finance Director, who informs the CEO and, for amounts above EUR 20,000.00, the Board.

Annex A – Invoice checklist

Check	Source	Owner
PO exists and is approved	PO / supplier master file	Accounts Payable
Goods or services received	Delivery note / service report	Accounts Payable
Quantities and prices	PO and delivery note	Accounts Payable
VAT arithmetic and mentions	Invoice	Accounts Payable
Not already booked	Purchase journal	Accounts Payable
Bank details	Supplier master file	Finance Director

Annex B – Document retention

Document	Retention
Purchase orders, invoices, credit notes	10 years
Delivery notes, service reports	10 years
Bank statements and payment notices	10 years
Supplier correspondence	5 years

Annex C – From need to payment

The table below describes the purchase-to-pay process step by step. Each step produces a document that is filed in the document management system and can be traced from the purchase order number.

#	Step	Actor	Document	Control
1	Need expressed	Master / Chief Engineer	Purchase request (e-mail)	Budget line exists
2	Quotations	Operations	Supplier quotations	2 quotes above EUR 5,000
3	Purchase order	Operations	PO-YYYY-NNNN	Approval matrix (section 3)
4	Order acknowledgement	Supplier	Acknowledgement e-mail	Price and terms unchanged
5	Receipt of goods	Bosun / Chief Engineer	Signed delivery note	Quantities counted
6	Completion of works	Master / Chief Engineer	Signed service report	Date of completion
7	Invoice receipt	Accounts Payable	Supplier invoice	Received stamp, date
8	Three-way match	Accounts Payable	PO + DN + invoice	Quantities, prices, VAT
9	Booking	Accounts Payable	Purchase journal AC	Not already booked
10	Payment proposal	Accounts Payable	Payment run list	Due date, IBAN on file
11	Payment approval	Finance Director	Bank e-signature	Segregation of duties
12	Execution	Bank	Payment execution notice	Matches the run list
13	Bank reconciliation	Chief Accountant	Bank statement	Every debit matched
14	Supplier reconciliation	Chief Accountant	Supplier statement	Monthly for key suppliers
15	Month-end cut-off	Chief Accountant	Accrual schedule	Section 7

Annex D – Responsibility matrix (RACI)

R = responsible, A = accountable, C = consulted, I = informed.

Activity	Requester	Ops Mgr	Fin. Dir.	CEO	AP	Chief Acc.
Express a need	R	A	I			
Select supplier	C	R	C	I		
Approve PO up to 5,000	I	A	I			
Approve PO 5,000-20,000	I	R	A	I		
Approve PO above 20,000	I	R	C	A		
Receive goods	R	A			I	
Book invoice		C	I		R	A
Create supplier		C	A		R	I
Change bank details			A	I	R	C
Propose payments			C		R	A
Approve payments			A	I		C
Bank reconciliation			A		C	R
Cut-off and accruals		C	A		C	R
Exception reporting		I	R	A	C	C

Annex E – Change of supplier bank details

Fraudulent requests to change bank details are the most frequent attempt observed in the yachting sector. They usually arrive by e-mail from a domain that closely resembles the supplier's, shortly before a large payment, and insist on urgency or on the imminent closure of the previous account.

#	Action	Who	Evidence kept
1	Receive the request in writing on the supplier's letterhead	Accounts Payable	Letter / PDF
2	Compare the sender's address with the master file contact	Accounts Payable	Screenshot
3	Call back the supplier on the number in the master file	Person other than requester	Call note
4	Obtain a bank identity statement in the supplier's name	Accounts Payable	RIB / bank letter
5	Approve the change in the master file	Finance Director	System log
6	Pay a first transfer only after the change is approved	Accounts Payable	Payment run

A request that does not complete steps 1 to 5 is rejected and reported to the Finance Director.

Annex F – Emergency purchase form

Field	Content
Vessel	Name of the vessel concerned
Date and time	When the emergency occurred
Nature of the emergency	Safety, pollution, seaworthiness
Supplier	Name, contact
Estimated amount	Net amount, currency
Authorised by	Master (name, signature)
Regularisation PO	Number and date (within 2 working days)
Service report	Reference, signed on board

Annex G – Supplier creation form

Field	Rule
Legal name	As per registration extract
Registration number	Extract less than 3 months old
VAT number	Checked on VIES; screenshot attached
Address	Registered office
Contact e-mail and telephone	Used for call-backs
IBAN / BIC	Bank identity statement on letterhead
Payment terms	Standard 30 days; other terms approved by the Finance Director
PO required	Yes by default; No only for framework contracts listed in section 2
Expense account	Proposed by Accounts Payable, validated by the Chief Accountant

Annex H – Key indicators reported monthly

Indicator	Target	Owner
Invoices booked with a PO (PO-required suppliers)	100%	Accounts Payable
Invoices on hold for matching differences	< 5%	Accounts Payable
Payments made after due date	< 3%	Accounts Payable
Unmatched bank debits at month end	0	Chief Accountant
Supplier statements reconciled	100% of key suppliers	Chief Accountant
Bank detail changes without call-back	0	Finance Director
POs approved above delegated limits	0	Finance Director

Annex I – Glossary

Term	Meaning
Accrual (FNP)	Expense recorded for goods or services received and not yet invoiced
Cut-off	Allocation of expenses to the period in which goods or services were received
Deposit	Payment made before delivery under an express contractual clause
Duplicate	The same invoice recorded more than once
Lettrage	Matching of invoices and payments on a supplier account
Reverse charge	VAT accounted for by the customer on intra-EU purchases
Three-way match	Matching of purchase order, delivery note and invoice
Supplier statement	List of open items sent by the supplier
Aged payables	Open invoices sorted by days past due date

Annex J – Version history

Version	Date	Change
v1	12/03/2021	First version
v2	20/01/2024	Approval matrix updated; emergency purchases (section 2)
v3	15/01/2026	Call-back for bank detail changes (section 6, annex E) after the 2025 internal audit